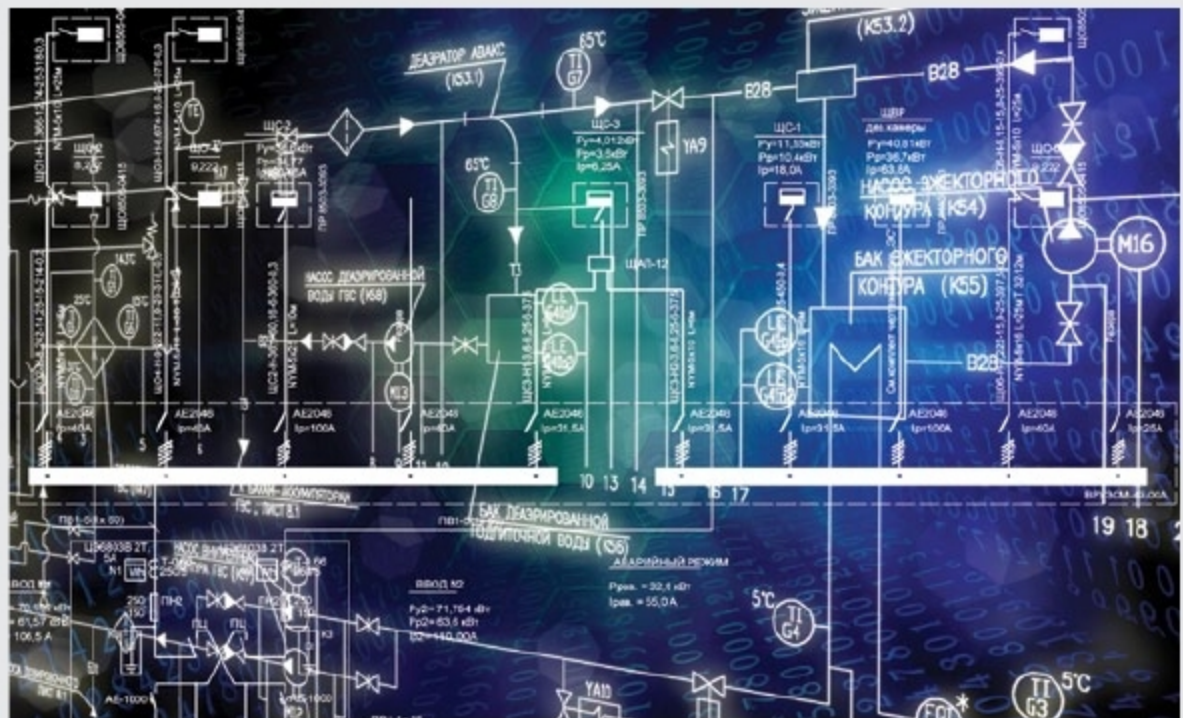


DESIGN IN INDIA: In Demand

Increased digitisation of products results in enhanced demand for electronics. Implementation of advanced technologies—such as the Internet of Things (IoT), artificial intelligence (AI), augmented reality/virtual reality (AR/VR) and so on—depends on the right design of the electronic systems, products and components



The Indian electronics system design space has gathered a lot of steam in the last few years. The semiconductor design market in India is expected to grow at around 25 per cent CAGR from US\$ 9.9 billion in 2012 to US\$ 60 billion in 2020 (Fig. 1). While the Indian electronics system design and manufacturing (ESDM) industry as a whole is import-dependent, to plug the huge demand gap and lags in manufacturing, design services are still its key strength and are majorly domestic. This area has potential that remains untapped.

Market at a glance

As opposed to the earlier trends where Indian design companies worked on bits and

parts of the overall design, they are now being asked to provide end-to-end product development, right from concept design to development and prototype testing. This augurs well for companies that can provide complete product design services from start to finish.

Growing customer base and increasing penetration in the consumer segment have provided excellent scope for growth of Indian electronics design houses. Some recent government policies, such as Make in India and Digital India, have inspired confidence and are aiding this momentum.

Advanced product development focusing on miniaturisation, the IoT, automation, LED lighting, AI and defence applica-



Fig. 1: Expected growth of semiconductor design market in India (Source: Ministry of Electronics & IT, IESA, KPMG and Aranca Research)

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